

Research Briefing | Eurozone

Why Italy and Spain will struggle to spend key EU funds

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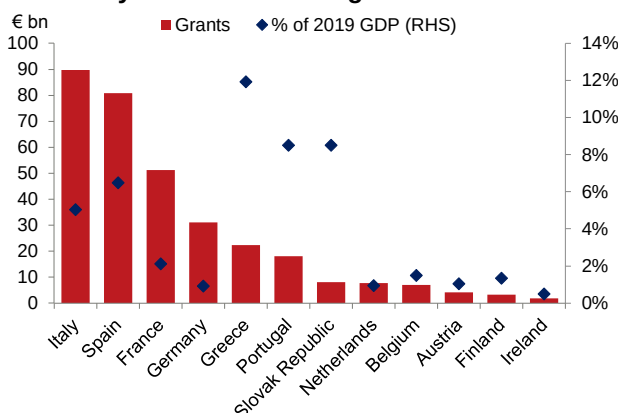
- Italy and Spain will be among the biggest beneficiaries of the funds made available through Europe's Next Generation EU package, having both suffered serious economic damage during the pandemic crisis. Italy and Spain could receive grants of around 5% and 6.5% of their 2019 GDP, respectively. But both will struggle in planning and spending efficiently those resources, greatly limiting the funds' positive impact and therefore making official government growth forecasts too optimistic, in our view.
- Italy and Spain have showed persistent difficulties in spending European funds and lack institutional preparedness. Public sector performance and institutional quality indicators have remained poor recently. Also, chronic underinvestment and failure to use available resources provide further evidence of weak central planning and implementation.
- This means the overall boost to growth for Italy and Spain over the next EU multiannual budget period may fall short of expectations and potentially be delayed. Indeed, similar spending patterns to those experienced with recent structural European funds could present a downside risk to our forecasts. Italy's GDP in 2022 would be 0.7ppts lower than in the baseline, while for Spain, for which we currently assume a slightly more gradual disbursement profile, 0.4ppts lower.

The Recovery Fund will be the main tool in responding the pandemic crisis

Figure 1: How the NGEU spreads its grants around

National and European policymakers have put together an exceptional fiscal response to the coronavirus crisis. The [Next Generation EU](#) (NGEU) fund, together with a reinforced European budget (MFF) for 2021-2027, should be one of the main tools to shape and boost the bloc's recovery. In particular, the establishment of the Recovery and Resilience Facility within the NGEU is a major step in this direction.

Recovery Fund: estimated grants allocation



Source : Oxford Economics/Haver Analytics

Among the main eurozone countries, Italy and Spain will be the major beneficiaries of the European funds in nominal terms. In GDP terms, their grants will be around 5% and 6%, respectively.

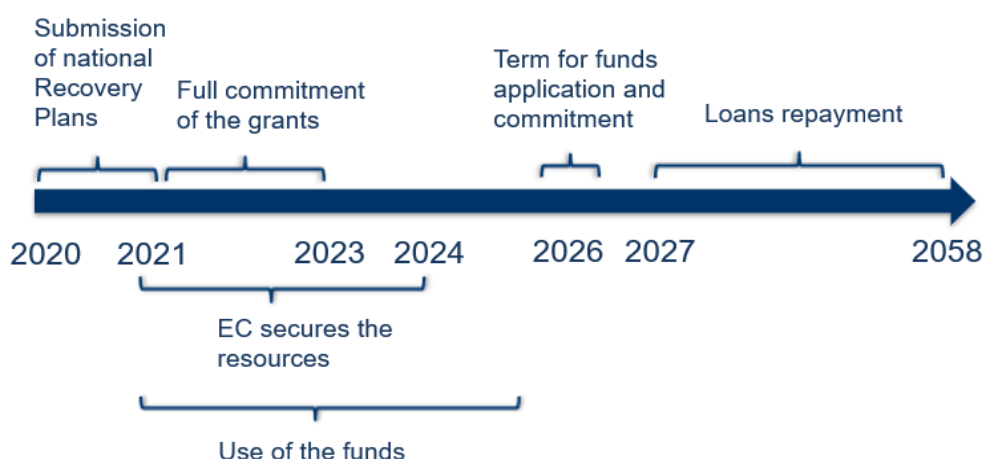
With an overall capacity of €672.5bn in grants and loans, the fund will support the recovery of European countries, focusing especially on those that have experienced the most severe downturns during the pandemic crisis.

To access those funds, member states are now preparing their recovery and resilience plans, setting out a credible package of reforms and public investment projects. These schemes aim to use the investments to boost potential growth and address structural issues that should create jobs and growth, focusing on green and digital transition. The plans will be submitted to the European Commission in coming months for evaluation and then be sent to the Council for approval. Disbursement of funds will likely start next summer.

Looking at the European Commission timeline (**Figure 2**), grant commitments will be concentrated in 2021-2023, and the loans should be disbursed not later than 2026. This will pose enormous pressure on the national decision-making bodies to allocate the funds and on administrative structures to coordinate and monitor implementation.

Figure 2: When the process' main steps will happen

Recovery Fund timeline



Given the large economic contractions expected in 2020, Italy and Spain will be among the major beneficiaries of the European funds. According to the first estimates, which will be recalibrated next year, Italy could receive around €87bn in grants (5% of 2019 GDP) and potentially €120bn in loans, while Spain could benefit from €70bn in grants (6.5% of 2019 GDP) and other €70bn in loans.

In the draft budgets for 2021 that the two Mediterranean countries just submitted to the European Commission, Italy and Spain foresee fully using the allocated grants. Italy also plans to use the full amount of loans (€125bn), while at this stage, Spain expects to cover its funding needs for 2021-2023 with the grants. Only later (in the biennium 2024-2026) will it eventually apply for the loan facility.

Italy and Spain are set to receive the largest transfers, having suffered massive GDP contractions in H1

Historically, these countries did not take full advantage of the European resources...

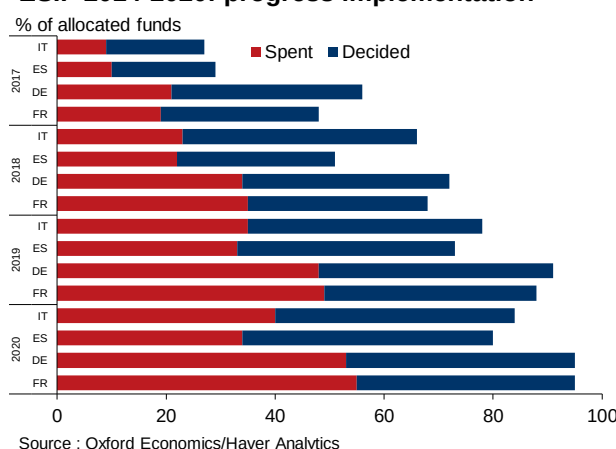
Figure 3: Italy and Spain have often lagged in spending EU funds

Italy and Spain have had trouble planning and spending EU funds

Given historical evidence on public spending and investment dynamics and some structural characteristics, we have serious concerns about Italy's and Spain's capacity to first efficiently allocate and then properly spend the significant resources available.

First, history suggests that both countries have struggled to plan and spend the European funds accessible during the usual multiannual budget period. During the last MFF started in 2014 and ending this year, they used only a small part of the European Structural Investment Funds (ESIF) (**Figure 3**). In particular, they spent as little as 10% of the funds in the first four years, trying to catch up at the end of the budget period. This clearly signals a lack of a proper planning process and possibly a scarcity of viable investment opportunities.

ESIF 2014-2020: progress implementation



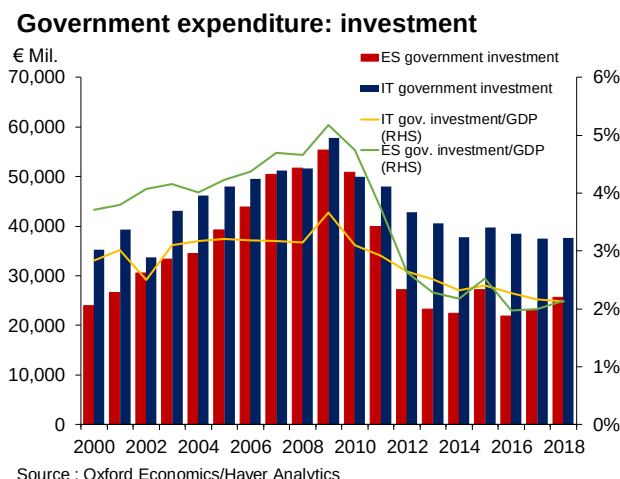
Italy and Spain showed very similar dynamics in committing and spending European funds during the last MMF period. The amounts allocated were €75bn and €56bn for Italy and Spain, respectively, a smaller amount than foreseen in the Recovery Fund and also spread over a longer investment horizon. In contrast, Germany and France proved to be more proactive in allocating the funds over the entire budget period.

It follows that government investment has been declining steadily in both countries since the aftermath of the sovereign debt crisis (**Figure 4**). Italian government investment dropped by 35% in the last 10 years, falling from 3.7% of GDP to 2.1%. In Spain, spending declined by a staggering 54% over the same period, from 5.2% to 2.1% of GDP.

...and government investment has kept declining

But if higher spending is desired to boost long-term growth, the OECD says, "it must be accompanied by reforms to improve the effectiveness of spending by enhancing the infrastructure governance framework, expediting project delivery and improving project quality." As the 2019 OECD Economic Survey for Italy reports, poor project quality, disorganised evaluation processes, and delays in delivery have been major obstacles to good infrastructure development as much as low spending. An analysis of 20 strategic transport projects indicates that from the start of the planning process, it takes more than 15 years to deliver large projects (above €2bn), while smaller projects take around six years. Planning and public tenders account for about two-thirds of the total time, suggesting that Italy doesn't have an appropriate administrative structure. Spain is plagued by similar issues as well.

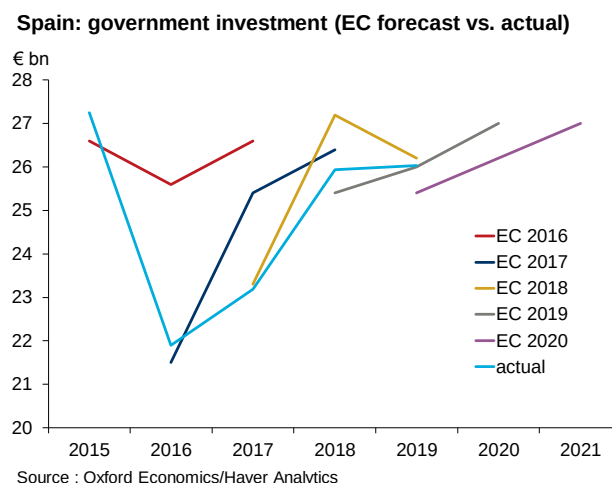
Figure 4: A poor record for spending government funds



Government investment has declined both in absolute terms and compared to GDP for Italy and Spain during the last 10 years. Also, investment as a share of total government expenditure has dropped from 7.2% in 2009 to 4.4% in 2018 in Italy and from 11.2% to 5.1% in Spain.

The poor planning capacity is also reflected in government spending figures when compared to the two countries' official economic projections. Indeed, European Commission forecasts of government investment for Spain have often been missed in recent years (**Figure 5**), while Italy's performance has been mixed.

Figure 5: A history of missing forecasts



Official estimates often overestimated the countries' planning ability, as in the case of Spain. The EC spring forecasts have been constantly missed in recent years, and government investment started to pick up only in 2019.

Institutional weaknesses represent another major obstacle

We believe a full and proper absorption of the funds will be unlikely

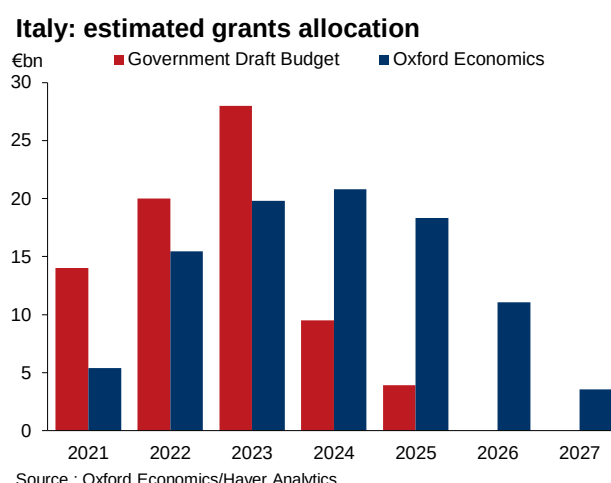
Finally, the decision-making and spending processes depend highly on the capacity of institutions and national administrative bodies. According to the World Economic Forum's 2019 Global Competitiveness Index, **neither country excels in institutional quality**, although the problems look much more severe in Italy. While Spain's public sector performance ranks 37th out of 141, Italy has a much worse score (127th). Moreover, Italy ranks 130th on government long-term vision and 126th on government responsiveness to change. All these elements add to the view that both countries are unable to follow a clear long-term view, partly due to political instability of their governments.

We conclude that even if the current crisis has put huge pressure on government actions and both political willingness and institutional commitment are better this time, **we still believe a full and proper absorption of the funds will be unlikely**. It would mean managing an unprecedented amount of resources in a relatively short time, and previous experience shows both countries' inability to fully benefit from these funds. They'll still benefit from the funds available at the EU level, but most likely at a slower pace than what governments are currently assuming, or they'll use part of the

funds to finance already planned projects, leading to a diminished impact on potential growth.

This would mean, especially in 2021 and 2022, fiscal support won't meet government estimates and, therefore, the impact on economic activity will also be more spread out over the forecast period. **We estimate that if Italy and Spain would follow the same spending path observed during the MFF period ending this year (Figure 3), 2022 GDP in Italy and Spain will be 0.7% and 0.4% below, respectively, what we estimate in our baseline**, which already accounts for some delays in implementation compared to the official government projections. The current baseline instead includes positive effects coming from grants in 2022 amounting to 0.9% of GDP for Italy and 0.65% for Spain.

Figure 6: Will Italy's grants be front-loaded or delayed?



In Italy, the government foresees a large proportion of grants disbursed in 2021 and 2022, while we think a more realistic scenario would spread the resources over a longer period. This partly explains why OE forecasts for 2020 remain below government ones. We expect most of the macroeconomic effects of the NGEU to be seen later.